

NORTHBRIDGE REGIONAL BANK

Third Quarter 2025 Financial Report (Q3 2025)

(This is a fictional bank and report created for demonstration and testing purposes only.)

EXECUTIVE OVERVIEW

Northbridge Regional Bank reported net income of \$84.2 million for the third quarter of 2025, up from \$79.5 million in the prior quarter. Return on average equity (ROE) was 11.4%, compared to 10.8% in Q2 2025. Return on average assets (ROA) was 1.02%, up two basis points quarter over quarter. Total assets grew to \$28.6 billion, an increase of 3.1% from the prior quarter, driven primarily by continued growth in the commercial real estate and commercial and industrial loan portfolios. Management remains focused on disciplined expense control while continuing to invest in digital banking infrastructure.

FINANCIAL HIGHLIGHTS

Net interest margin (NIM) was 3.42% for Q3 2025, down slightly from 3.48% in Q2 2025, reflecting a higher cost of interest-bearing deposits as customers continued to shift balances into higher-yielding time deposit products. The efficiency ratio improved to 58.3% from 59.7% in the prior quarter, reflecting continued cost discipline and modest revenue growth. Total loan balances grew 4.2% quarter over quarter to \$19.8 billion, while total deposits grew 2.6% to \$23.1 billion. Non-interest income was \$41.7 million for the quarter, an increase of 6.4% from Q2 2025, driven by higher wealth management fees and treasury services revenue.

CAPITAL AND LIQUIDITY

The Common Equity Tier 1 (CET1) capital ratio stood at 11.2% at quarter-end, comfortably above the regulatory minimum, though down from 11.6% in Q2 2025 due to continued balance sheet growth outpacing retained earnings. The Tier 1 capital ratio was 12.4%, and the total capital ratio was 14.1%. The bank's leverage ratio was 9.3%. Liquidity coverage ratio (LCR) was 118%, and the loan-to-deposit ratio increased to 85.7% from 83.9% in the prior quarter, reflecting faster loan growth relative to deposit growth. The board approved a quarterly common stock dividend of \$0.42 per share, consistent with the prior quarter.

ASSET QUALITY

The non-performing loan (NPL) ratio increased to 0.87% of total loans at quarter-end, up from 0.71% in Q2 2025, driven primarily by two large commercial real estate relationships in the office sector that were downgraded during the quarter. Net charge-offs were 0.24% of average loans on an annualized basis, up from 0.18% in the prior quarter. The provision for credit losses was \$18.6 million for the quarter, compared to \$12.3 million in Q2 2025, reflecting both loan growth and the deterioration noted above. The allowance for credit losses as a percentage of total loans was 1.15% at quarter-end.

RISK FACTORS

Commercial real estate concentration: Approximately 34% of the bank's commercial loan portfolio is concentrated in commercial real estate, including a meaningful office-sector exposure. Continued softness in office occupancy and valuations in the bank's core metropolitan markets

could lead to further credit downgrades, higher provisions, and additional charge-offs if current trends persist or worsen.

Interest rate risk: The bank's balance sheet remains liability-sensitive in the near term. Should market interest rates remain elevated for longer than currently anticipated, funding costs may continue to rise faster than asset yields reprice, which would put further pressure on net interest margin.

Deposit competition and funding costs: Competition for deposits from both traditional banks and higher-yielding money market alternatives has increased the bank's cost of funds. If this competitive dynamic intensifies, it could further compress net interest margin or require the bank to rely more heavily on wholesale funding sources, which are generally more expensive and less stable than core deposits.

Regulatory and compliance risk: The bank continues to operate under heightened supervisory expectations common to regional banks of its size following industry-wide stress events in recent years. Any new capital, liquidity, or reporting requirements applicable to banks in this asset class could increase compliance costs or constrain balance sheet growth.

Cybersecurity risk: Like all financial institutions, Northbridge faces ongoing cybersecurity threats, including phishing, ransomware, and third-party vendor vulnerabilities. A significant security incident could result in operational disruption, financial loss, regulatory scrutiny, and reputational harm.

Macroeconomic risk: A slowdown in regional economic activity, a rise in unemployment, or a broader recession could increase credit losses across the loan portfolio beyond current expectations, particularly in the commercial real estate and small business lending segments.

OUTLOOK

Management expects loan growth to moderate somewhat in the fourth quarter as the bank continues to prioritize risk-adjusted returns over balance sheet growth, particularly in commercial real estate. Net interest margin is expected to stabilize in the 3.35%-3.45% range absent further increases in benchmark interest rates. The bank expects the provision for credit losses to remain elevated relative to historical levels in the near term given continued monitoring of the commercial real estate office portfolio, but does not currently expect losses to reach levels that would threaten capital adequacy under its internal stress scenarios.